Transfer entry

(if provision for bad and doubtful debts account is maintained)

Particulars		L.F.	Debit ₹	Credit ₹
Provision for bad and doubtful debts A/c	Dr.		xxx	
To Bad debts A/c				xxx
(Bad debts transferred)				

Presentation in final accounts

In Profit and loss A/c	Amount of bad debt is shown on the debit side.
In Balance Sheet	Amount of bad debts is deducted from sundry debtors on the assets side.

Tutorial note

1. When bad debts already appears in the trial balance it means journal entry is already made, i.e., debtors is already reduced. Hence, bad debt is taken only to debit side of profit and loss account.
2. If there is bad debt in trial balance as well as in adjustments, total bad debt is debited in profit and loss account. Additional bad debt only is deducted from debtors in the balance sheet.

Example

The trial balance as on 31st December, 2016 shows sundry debtors as ₹1,02,000.

Adjustment: Write off ₹2,000 as bad debts. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Bad debts A/c	Dr.		2,000	
Dec. 31	To Sundry debtors A/c				2,000
	(Bad debts written off)				

Transfer entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Profit and Loss A/c	Dr.		2,000	
Mar. 31	To bad debts A/c				2,000
	(Bad debts transferred to profit and loss A/c)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st December, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Bad debts	2,000				

Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	1,02,000	
			Less: Bad debts	2,000	1,00,000

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